

THE SESSION • POST-CLOSE READ

Bonds Push, *Stocks Hold*

The 30-year Treasury yield touched its highest level since 2004 and Brent settled above \$106, yet the S&P 500 recovered a morning decline to finish nearly flat. Dividend Strategy -0.66% trailed DVY and SPY; Growth Portfolio -0.31% trailed IUSG.

S&P 500 ▼ 0.03%

NASDAQ ▲ 0.01%

DOW ▼ 0.31%

VIX 15.6

BRENT ▲ \$106

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

-0.66%

1-DAY

FCI		-0.66%
DVY		-0.57%
SPY		-0.07%

YTD +17.11% vs DVY +11.99% • SPY +13.40%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.31%

1-DAY

FCI		-0.31%
IUSG		+0.10%

YTD +24.14% vs IUSG +15.92%

THE SESSION

Thursday brought a second test from the bond market, and this time equities held their ground. The S&P 500 slipped 0.03%, or 2 points, to 7,704 after trading about 0.6% lower in the morning; the Nasdaq finished fractionally higher at 26,938, and the Dow lost 0.31%, or 162 points, to 51,350. Yields extended Wednesday's move before easing. The 30-year Treasury touched about 5.46%, its highest since 2004, and the 10-year reached roughly 5.17%, its highest since 2007, before settling back near 5.10%; the Treasury's second enlarged buyback of long bonds did little to change the direction. Oil added to the pressure. Brent traded as high as \$108 after Iran-allied Houthi forces fired missiles at Saudi Arabia, then eased on reports that U.S. and Iranian negotiators are discussing a phased reopening of the Strait of Hormuz, settling above \$106. Futures pricing put the odds of an October Fed hike at roughly 70–75%. Oracle declined after a report that it sent a force majeure notice on its New Mexico data-center project, which weighed on the tech group, while communication services, energy and health care led at midday. President Xi met President

Trump at the White House ahead of tonight's state dinner, with chip access among the topics investors are watching. The VIX rose 2.4% to 15.6.

The Dividend Strategy declined 0.66%, trailing DVY's 0.57% decline by less than a tenth of a point and SPY's 0.07% dip by 0.59 point. Five of twenty-five holdings advanced. The gap to SPY was one of composition: the index was carried by communication services, a sector the sleeve does not hold, while the sleeve's losses were spread across its defensive and rate-sensitive names. Health care split: Abbott fell 2.32% and Stryker 1.29% without company-specific news, while Quest Diagnostics rose 1.52%. General Dynamics declined 2.01% after Tuesday's 2.97% loss; Lockheed Martin eased 0.16%. NextEra slipped 1.82% as long yields rose again, and SS&C, Nutrien and Qualcomm each fell about 1.5%, with PACCAR down 1.27%. NatWest recovered 1.31% after Wednesday's 3.53% decline, and Steel Dynamics (+0.47%), Genuine Parts (+0.46%) and Atmos Energy (+0.12%) finished higher.

The long bond set a new marker today, and the market held its level. An owner measures a business by what it earns across a cycle of rates, not by the rate of a single afternoon.

The Growth Portfolio declined 0.31% against IUSG's 0.10% gain, trailing by about four-tenths of a point, with twelve of twenty-five holdings higher. The semiconductor holdings pulled in both directions. AMD rose 2.38% to \$629.26, recovering from a morning low near \$599; TSM gained 1.00%, Credo 1.08% and Keysight 1.20%. NXP fell 2.24%, Marvell 0.75% and NVIDIA 0.41% as investors waited on the summit. The consumer lenders steadied as the 2-year yield eased: SoFi +1.51% and Synchrony +1.24%, while Robinhood fell 1.53%. ServiceNow gave

back 2.11% of Wednesday's 2.79% gain as the Oracle report weighed on tech. MARA declined 3.22% and Hut 8 0.90%, with IBIT -0.15% and ETHA +0.59%; Full Truck Alliance fell 2.22%. Harmony Biosciences rose 1.68%, and CNX +1.26% and ONEOK +0.74% followed crude higher. On the year, the Dividend Strategy stands at +17.11% against DVY's +11.99%, a +5.12-point spread, with SPY at +13.40%; the Growth Portfolio stands at +24.14% against IUSG's +15.92%, a +8.22-point spread.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

AMD +2.38%

GROWTH

Recovered from a morning low near \$599 to close at \$629.26, a market value of about \$1.03 trillion, as the Trump–Xi talks on trade and chips got underway.

DGX +1.52%

DIVIDEND

Rose on a day health care was one of three advancing S&P 500 sectors at midday; no company-specific release.

DECLINERS

MARA -3.22%

GROWTH

Declined while IBIT slipped 0.15%; a filing disclosed a sale of 27,505 shares by CEO Frederick Thiel.

ABT -2.32%

DIVIDEND

Closed at \$101.09, near its session low, with no company-specific release; health care advanced at midday.

SOFI +1.51%

GROWTH

Consumer lenders steadied after Wednesday's losses as the 2-year Treasury yield eased from its recent high.

NWG +1.31%

DIVIDEND

Recovered part of Wednesday's 3.53% decline; no company-specific release.

NOW -2.11%

GROWTH

Gave back most of Wednesday's 2.79% gain as a report on Oracle's data-center force majeure notice weighed on the tech group.

GD -2.01%

DIVIDEND

Closed at \$336.42, near its session low, following Tuesday's 2.97% decline; no company-specific release.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+17.11%

vs DVY +11.99% / SPY +13.40%

Spread vs DVY +5.12 pts

GROWTH PORTFOLIO

+24.14%

vs IUSG +15.92%

Spread vs IUSG +8.22 pts